Liebherr Group – Final speaker notes

HAT1 Financial Reporting · 12 talk slides · planned speaking time ≈ 9:45 min (1235 words at ≈ 125 words per minute) · backup slides 13–42 for the Q&A

Central question: **How financially strong is Liebherr, and which factors will drive its future performance? For a long-term investor: take a minority stake now – or not yet?**

SPEAKER	SLIDES	TOPICS	TIME	HANDOVER LINE
Adam	1–3	Title; Executive summary; Company and environment	**2:20**	So how does Liebherr compete in this market? Zarah will now show you its competitive advantage – and what it means for the numbers.
Zarah	4–5	Competitive advantage; Financial performance	**2:15**	But can we trust the reported margin? Philipp will now look behind the figures.
Philipp	6–8	Accounting analysis – judgements; Accounting adjustments vs. sensitivities; Financial position and cash flow	**2:45**	Simon will now show you where the cash is tied up – and what all this means for the investor.
Simon	9–12	Working capital; Investment assessment; Conclusion; Thank you	**2:25**	Closes the talk and opens the Q&A

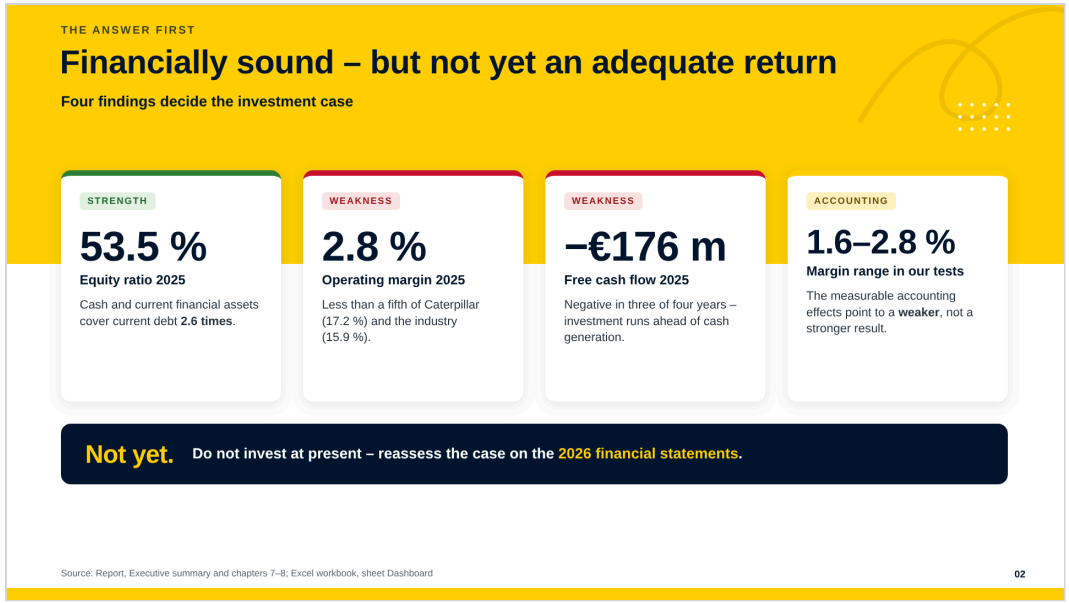
→ HANDOVER last sentence before the next speaker · **● CLICK** slide 10: one click per condition (3 clicks), then one click to slide 11 · In the HTML version press **P** for the presenter view and **I** for the backup index.

01 **Adam** **Title** 0:40



Good morning everyone. We are Simon, Adam, Zofia, Philipp and Zarah, and today we present our analysis of the Liebherr Group for 2022 to 2025. My name is Adam, and I will start.

Our report is written for a long-term investor considering a minority stake. Our central question is: how financially strong is Liebherr, and which factors will drive its future performance? For the investor, this leads to one decision: take a minority stake now – or not yet?



We give you the answer first: not yet.

Liebherr is financially sound. Equity finances 53.5 per cent of total assets, and cash covers current debt 2.6 times, so the risk of financial distress is low.

But a strong balance sheet is not a good investment by itself. The operating margin was only 2.8 per cent – less than a fifth of Caterpillar and the industry – and free cash flow was negative in three of four years. And our accounting tests point even lower.

So our advice is: do not invest now, and reassess on the 2026 statements. Let us show you why.

COMPANY AND ENVIRONMENT

Diversification kept Liebherr growing while construction weakened

€14,772 m	55,963	13	1949
Revenue 2025, +1.0 %	Employees	Product segments	Family-owned · Bulle (CH)

Revenue 2025 by sector

63.3 % · Construction & mining · −5.5 %	36.7 % · Other · +14.7 %

€9,345 m vs. €5,427 m – components alone grew 35.5 %



External pressures

- **Demand:** European construction output forecast to grow only about 2 % a year until 2028
- **Prices and costs:** US tariffs and low-cost competitors – reported by Liebherr for its cranes
- **Financing:** ECB main refinancing rate 2.65 % (Sept. 2026) – machines cost customers more to finance

LIEBHERR'S OWN OUTLOOK

Orders at the start of 2026 above the previous year – further growth expected, but **no significant upswing before 2027**. US tariff policy remains a risk.

Source: Report, chapters 2 and 3 (§3.1.1) and §5.7; Liebherr-International AG (2026); EUROCONSTRUCT (2026); European Central Bank (2026)

03

Liebherr is a family-owned, unlisted group, founded in 1949, with almost 56,000 employees in 13 product segments.

In 2025 construction and mining – almost two thirds of revenue – fell by 5.5 per cent, but the other segments grew by 14.7 per cent. That is why the group still grew a little.

The environment is difficult: slow growth in European construction, US tariffs and low-cost competitors, and higher interest rates for customers. Liebherr itself expects no real upswing before 2027.

→ HANDOVER So how does Liebherr compete in this market? Zarah will now show you its competitive advantage – and what it means for the numbers.



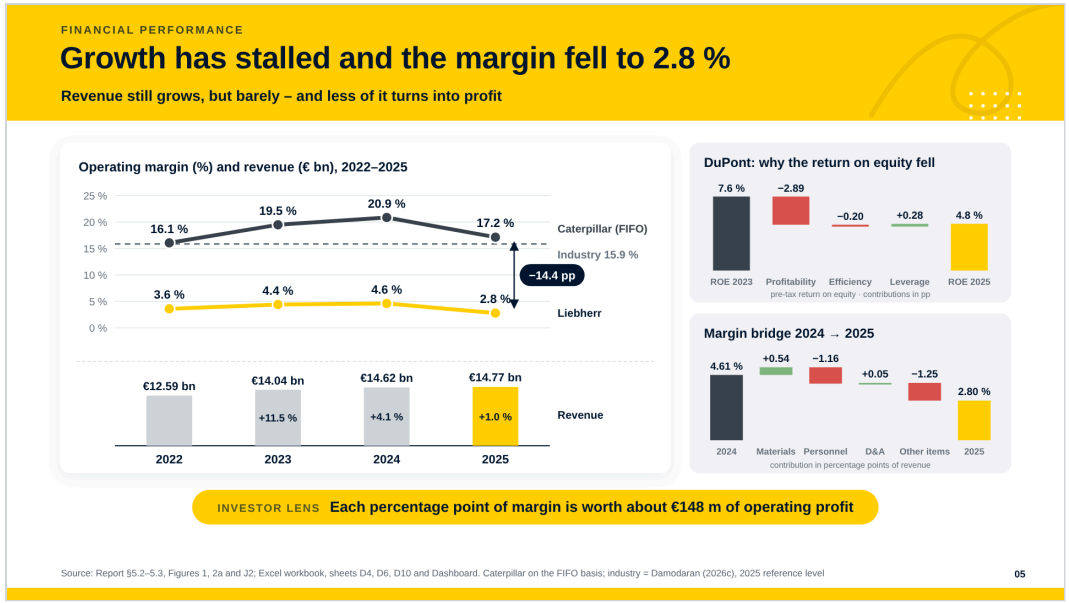
Thank you, Adam.

Liebherr competes with differentiation in cranes and mining and with scale in earthmoving. Three advantages support this.

First, diversification: 13 segments spread the risk – in 2025 the other segments grew while construction fell. Second, vertical integration: Liebherr builds key technologies itself and sells through its own companies, not through dealers. Third, innovation: R&D rose every year to 708 million euro, 4.8 per cent of revenue – more than Caterpillar.

But each advantage has a price: diversification does not raise the margin, vertical integration ties up capital, and R&D kept rising while profit fell.

So the advantage is real, but it sits in the asset base, not yet in the margin. Does it turn into returns? Let's look at the numbers.



The bars at the bottom show revenue: it grew 11.5 per cent in 2023, but only 1 per cent in 2025.

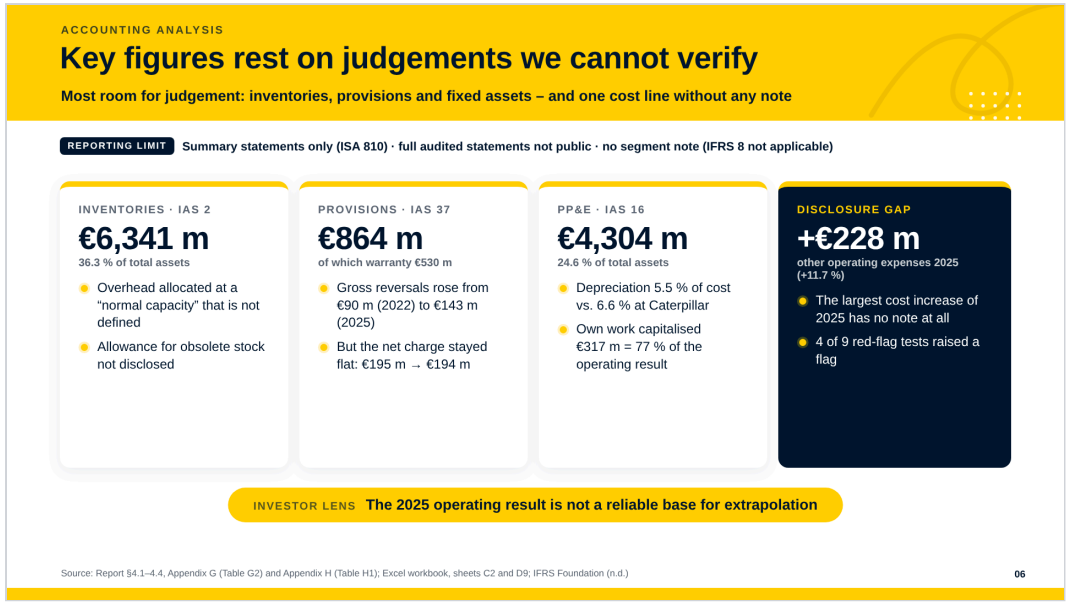
The lines above show the bigger problem. Liebherr's margin, in yellow, was around 4 per cent and fell to 2.8 per cent in 2025. Caterpillar earned 16 to 21 per cent, the industry 15.9. The gap existed in every single year – so this is not one bad year.

The bridge explains 2025: personnel costs grew five times faster than revenue, and other operating items cost another 1.25 points – without any explanation.

The DuPont analysis shows what this means for the owners: the pre-tax return on equity fell from 7.6 to 4.8 per cent, and almost all of it comes from lower profitability – not from efficiency or debt.

Each margin point is worth about 148 million euro.

→ HANDOVER But can we trust the reported margin? Philipp will now look behind the figures.

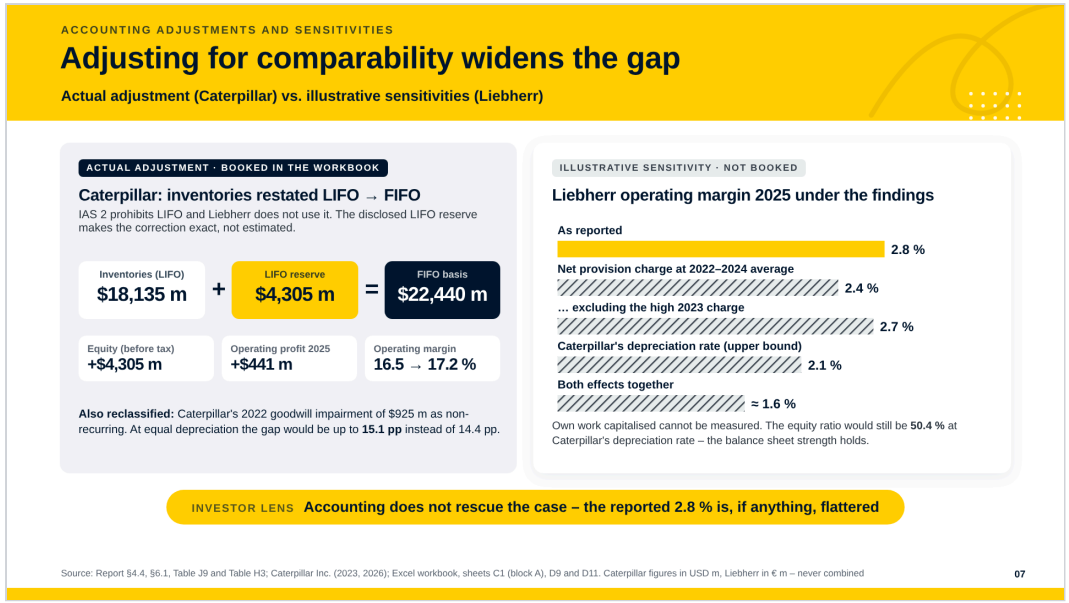


Thank you, Zarah.

Liebherr publishes only summary statements – the full audited statements are not public, and there is no segment note.

Three accounts carry most of the judgement. Inventories: the allowance for old stock is not disclosed. Provisions: reversals rose to 143 million euro, but the net charge stayed flat. Fixed assets: Liebherr depreciates more slowly than Caterpillar.

The fourth box matters most: other operating expenses rose by 228 million euro, and there is no note at all. So the biggest cost increase of 2025 cannot be explained. Four of our nine red-flag tests raised a flag.

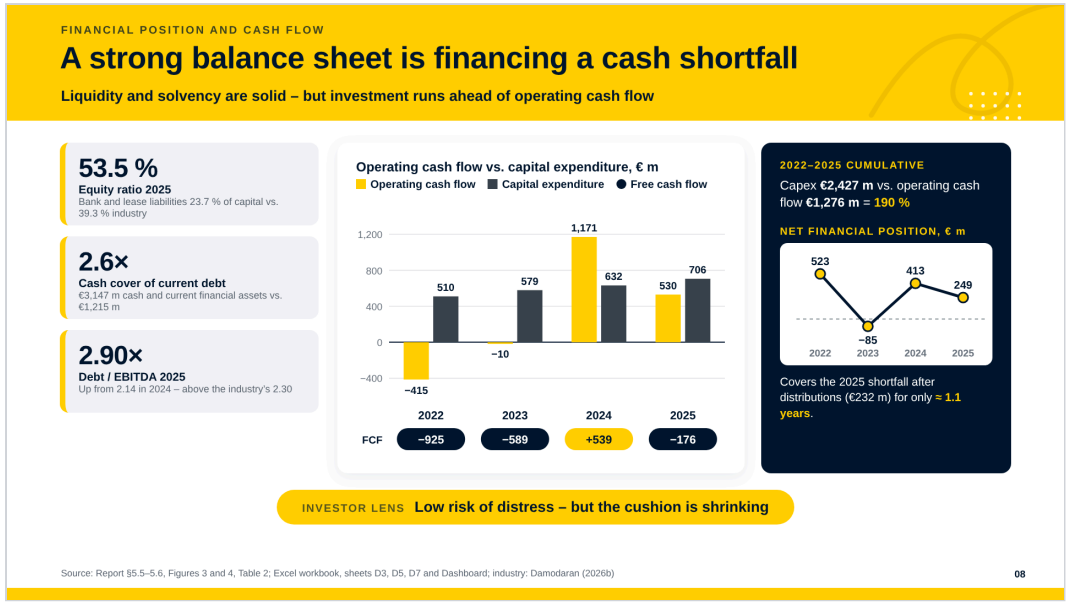


On the left is an actual adjustment we made; on the right are sensitivities we only measured.

Caterpillar values most inventory with LIFO, which IAS 2 does not allow. Its disclosed LIFO reserve makes the correction exact: plus 441 million dollars of operating profit. Its margin rises from 16.5 to 17.2 per cent – so the gap gets bigger, not smaller.

For Liebherr we only illustrate: with a normal provision charge the margin would be 2.4 per cent, at Caterpillar's depreciation rate 2.1, and both together about 1.6 per cent.

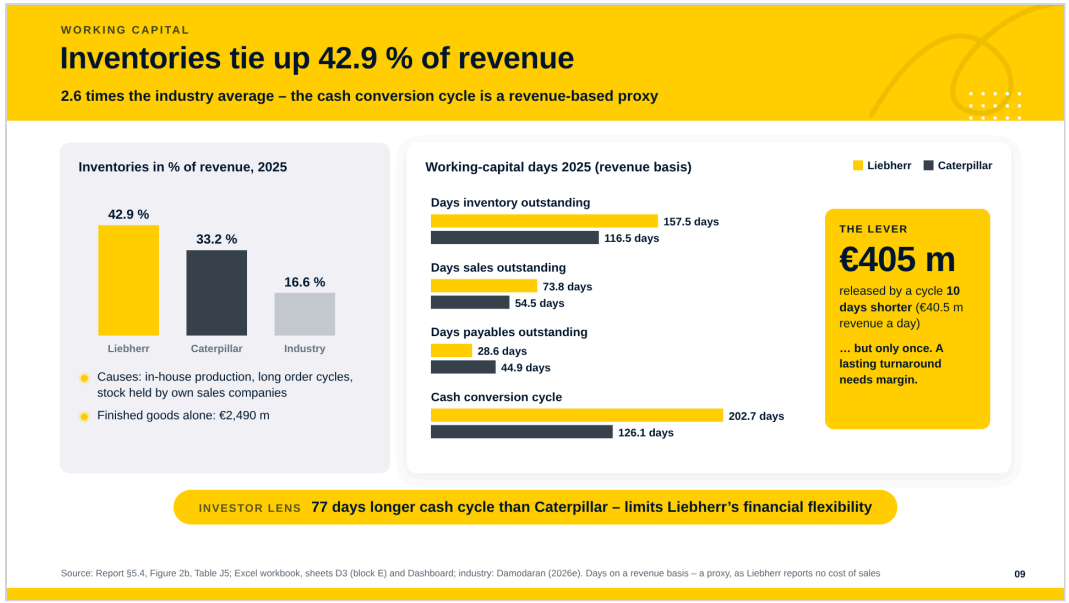
So the accounting does not hide a better company. But the balance sheet strength survives: the equity ratio stays around 50 per cent.



The balance sheet is Liebherr's clearest strength – but look at the cash. Yellow is operating cash flow, grey is capital expenditure. In 2022 and 2023 operating cash flow was even negative, because Liebherr built up stock. Over four years it invested 2.4 billion euro but generated only 1.3 billion from operations – 190 per cent. Free cash flow was negative in three of four years.

So the cushion shrinks: the net financial position fell from 523 to 249 million euro, and debt to EBITDA rose to 2.9, above the industry. If the 2025 shortfall repeated, the cushion would last only about 1.1 years. The balance sheet buys time – it does not replace returns.

→ HANDOVER Simon will now show you where the cash is tied up – and what all this means for the investor.

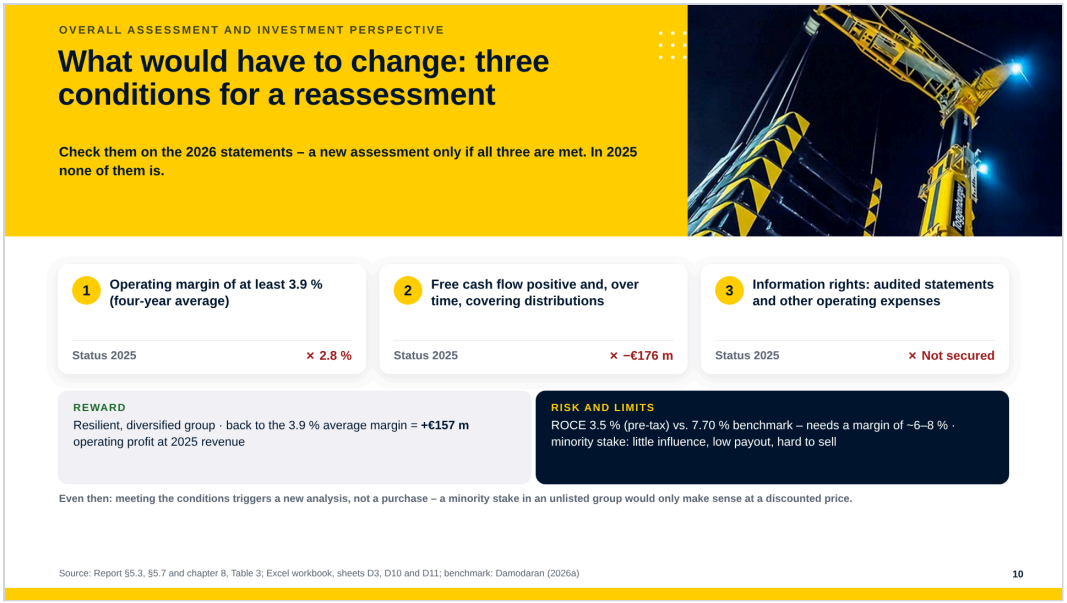


Thank you, Philipp.

Where is the cash tied up? Mainly in inventories: 42.9 per cent of revenue, 2.6 times the industry.

Measured in days of revenue – a proxy, because Liebherr reports no cost of sales – the cash conversion cycle is about 203 days, 77 days longer than at Caterpillar. Liebherr holds stock longer and pays its suppliers faster.

This is the biggest lever management controls: ten days less would release about 405 million euro. But only once – so it cannot replace a better margin.



So what would have to change before an investment makes sense? We check three conditions on the 2026 statements.

• CLICK First, the margin should return to at least its four-year average of 3.9 per cent – in 2025 it was 2.8.

• CLICK Second, free cash flow should be positive and cover distributions – it was minus 176 million.

• CLICK Third, the investor needs information rights, for example on the 228 million euro of unexplained other costs.

And 3.9 per cent is only a trigger, not a good return: the return on capital employed was 3.5 per cent before tax, against a 7.7 per cent benchmark.

A minority shareholder would also have little influence, a low payout and shares that are hard to sell – so meeting the conditions starts a new analysis, not a purchase.

• CLICK – NEXT SLIDE



So, our answer to the central question: Liebherr is financially strong, but operationally challenged.

Three takeaways. The balance sheet is strong and survives our accounting tests. Returns and cash generation are too weak, and the gap to Caterpillar exists in every year. And the accounting analysis sharpens the verdict rather than softening it.

If the margin stays near 2.8 per cent in 2026 and the net financial position turns negative, the investor should drop the case. In one sentence: see the turn in the figures before committing capital.

Thank you



Thank you.

Simon Beermann · Adam Fliegel · Zofia Narkiewicz · Philipp Hoffmann · Zarah Gilmore Islam · HAT1 Financial Reporting · Fontys Venlo

Images: Liebherr-International AG

On behalf of the whole team: thank you for your attention. We are happy to answer your questions.

Q&A Press I for the backup index – every backup slide is one click away. Back-up figures: ROCE 2024 5.9 % before tax at a 4.6 % margin; sustainable growth rate 2.4 %; personnel expenses 28.6 % of revenue (26.4 % in 2023); only €56 m of a €272 m profit distributed in 2025; a deferred tax liability on Caterpillar's LIFO reserve at 21 % would lower its equity ratio only from 24.9 % to 24.2 %.